ORACLE CORPORATION

(NYSE: ORCL)

Firm Analysis Report

Student Managed Investment Fund Competition South
Prepared by Lewis University Investment Club

Sections: Business Niches, Diversification,
Stockholder Performance, Financial Strengths & Weaknesses,
Valuation & Recommendation

Analysis Period: FY2021 – FY2025 | Market Data as of March 19, 2026
Data Sources: LSEG/Refinitiv, SEC EDGAR, StockAnalysis.com
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Business Niches

Executive Summary

Oracle Database remains the single most deeply embedded enterprise software product in the world, generating an estimated $15–18 billion in annual database-related revenue across license, support, and cloud services. Despite losing relative market share to hyperscaler-managed databases and PostgreSQL over the past five years, Oracle's database franchise has retained extraordinary structural defensibility. The installed base, concentrated in banking, telecom, government, and healthcare, faces switching costs so severe that large-scale migration projects routinely exceed $10 million and three years of execution. Oracle has successfully reframed its database lock-in as a cloud adoption funnel, converting on-premises support customers into Oracle Cloud Infrastructure subscribers at a 2–4x revenue multiplier.

Market Share: Declining in Relative Terms, Growing in Absolute Dollars

Oracle's competitive positioning presents a paradox. It remains the number one database on the DB-Engines popularity index (score: 1,204 versus MySQL at 868 and SQL Server at 708 as of February 2026), a leader in the Gartner Magic Quadrant for Cloud Database Management Systems (2024 and 2025 editions), and holds the highest scores in the Forrester Wave for Translytical Data Platforms (Q4 2024). However, its revenue-based market share has eroded steadily as the database management system market expanded from $68 billion in 2020 to $119.7 billion in 2024.

Gartner's 2023 revenue-based database management system rankings show Amazon Web Services leading at $27.2 billion (26% share), followed by Microsoft at $25.0 billion (24%), and Oracle at $17.6 billion (17%). Oracle's 4.5% revenue growth in 2023 trailed the market's 13.4% expansion rate. Oracle's share declined from roughly 21% in 2021 to approximately 17% in 2023, reflecting the hyperscalers' capture of cloud database growth.

Metric	Oracle	AWS	Microsoft	PostgreSQL
Gartner DBMS Revenue (2023)	$17.6B (#3)	$27.2B (#1)	$25.0B (#2)	N/A (Open Source)
DB-Engines Score (Feb 2026)	1,204 (#1)	~45th (Aurora)	708 (#3)	672 (#4)
Stack Overflow Usage (2025)	~10.6%	N/A	N/A	55.6% (#1)
Gartner MQ Cloud DBMS (2025)	Leader	Leader	Leader	N/A

Sources: DB-Engines (Redgate Q1 2025), Gartner MQ 2025, IT Market Strategy 2023, Stack Overflow 2024 Developer Survey, 6sense.

Why Oracle Database Is the Stickiest Product in Enterprise IT

Oracle's database moat operates through four self-reinforcing lock-in mechanisms, technical, contractual, behavioral, and economic, that combine to create what may be the deepest vendor dependency in enterprise software.

PL/SQL Creates Irreplaceable Technical Debt

Oracle's proprietary procedural language has no direct equivalent in competing database systems. Converting PL/SQL to PostgreSQL's PL/pgSQL requires an estimated 40–80 hours per 1,000 lines of code. Application code refactoring typically consumes 30–60% of total migration cost, making it the single largest expense.

Oracle Real Application Clusters Has No Competitive Equivalent

Real Application Clusters, priced at approximately $23,000 per processor, is the only scale-everything, shared-disk clustering architecture in the market, supporting up to 100 nodes with transparent read/write scaling. RAC cannot run on AWS, Azure, or GCP; it is exclusive to Oracle infrastructure and OCI. This creates a binary dependency for workloads requiring RAC-level availability.

The Support Model Generates Extraordinary Recurring Revenue

Oracle's license support is priced at 22% of net license fees annually, auto-renews by default, and has incorporated 8% annual escalators since 2022. The "Matching Service Levels" policy prevents customers from selectively reducing support coverage, and a

repricing penalty resets remaining licenses to list price if any are terminated. These mechanisms produce estimated 90%+ support renewal rates with approximately 90% margins. Oracle's total software support revenue reached approximately $19.5 billion in FY2025.

Licensing Complexity Is Itself a Moat

Oracle's per-processor licensing uses a proprietary Core Factor Table that assigns different multipliers to different hardware architectures. An entire consulting ecosystem exists solely because of Oracle licensing complexity. Oracle's License Management Services generates revenue through audits that average $2.7 million in initial demand for Fortune 500 enterprises, occurring approximately every 3–5 years.

Mission-Critical Customer Concentration

Oracle claims 97–98% of Fortune 500 companies use Oracle technology. Its dominance in banking, where JPMorgan Chase and virtually all major global banks run critical systems on Oracle Database, is reinforced by Oracle's designation as a critical ICT third-party service provider under the EU's Digital Operational Resilience Act (DORA), formally acknowledging its systemic importance to financial institutions.

PostgreSQL: The Structural Threat with Painfully Slow Migration

The competitive threat to Oracle's database franchise is real, structural, and accelerating at the margins, but the core installed base remains remarkably stable. PostgreSQL's rise from 33% developer usage in 2018 to 55.6% in 2025 represents the most consequential shift in the database market. All three hyperscalers now offer managed PostgreSQL services with proprietary enhancements: Amazon Aurora PostgreSQL, Google AlloyDB, and Azure Database for PostgreSQL.

Cloud-native alternatives compound the threat. Amazon Aurora serves 100,000+ customers across 185 countries. Snowflake rose to 7th in Gartner's DBMS revenue rankings. The Oracle-to-Cloud Migration Services market was valued at $2.8–5.8 billion in 2024 and is projected to reach $11.4–23.6 billion by 2033.

Yet the pace of actual enterprise migration remains measured. A Rimini Street survey (November 2025) found that 80% of Oracle Database customers plan to migrate some or all instances within 1–3 years, though this figure almost certainly overstates actual migration intent. Full enterprise database migration typically requires 6–18 months, with over 80% of projects exceeding their timeline and budget. Approximately 90% of Oracle Database users operate on version 18c or older, suggesting deep institutional resistance to change.

The Database-to-Cloud Flywheel: Oracle's Most Important Strategic Asset

Oracle's most consequential strategic innovation of the past three years is reframing database lock-in as a cloud adoption funnel rather than a declining legacy business.

Autonomous Database cloud database services reached annualized revenues of nearly $2.8 billion as of Q1 FY2026, growing 32% year-over-year. Autonomous Database specifically grew 43% in Q1 FY2026. CreditSights projects Oracle's AI Database and AI Data Platform will reach $20 billion by FY2030 at a 53% CAGR.

The Multicloud Database Strategy is Oracle's defensive masterstroke. Oracle Database@Azure (launched December 2023, now in 33 regions), Database@AWS (announced September 2024), and Database@Google Cloud place Oracle Exadata hardware directly inside competitor cloud data centers. Multicloud database revenue grew 1,529% in Q1 FY2026, 817% in Q2, and 531% in Q3. Oracle plans 71 total multicloud data centers, with 34 already live.

Estimating Oracle's Database Revenue

Revenue Component	Est. Annual Revenue	Growth Trajectory
Database License Support	$10–12 Billion	Flat to +1%
Cloud Database Services	~$2.8 Billion (Ann.)	+32–43%
Database License (Perpetual)	~$2–3 Billion	Declining
Total Database-Related	**$15–18 Billion**	Low Single Digits Aggregate
Indirect OCI Revenue (DB-Driven)	Significant	+84% (Total OCI)

Conclusion

Oracle Database occupies a rare position in technology: a product whose relative market share is declining while its absolute strategic value is increasing. The database franchise generates $15–18 billion in annual revenue with extraordinary margins, retains 90%+ of its support base, and now serves as the primary on-ramp for OCI adoption growing at 84% year-over-year. The multicloud database strategy has neutralized the most immediate competitive threat by embedding Oracle Exadata directly within AWS, Azure, and GCP.

The key risk is generational: new applications overwhelmingly choose PostgreSQL, analytical workloads migrate to Snowflake and Databricks, and the Oracle DBA talent pool is shrinking. However, the most profitable segment of Oracle's installed base, large banks, telcos, governments running mission-critical OLTP on RAC and Exadata, faces switching costs measured in tens of millions of dollars and years of execution risk. For equity investors, Oracle Database is best understood not as a declining legacy franchise but as a $15–18 billion annual toll booth on the world's most valuable enterprise data with an increasingly effective mechanism for converting that toll into high-growth cloud revenue.

Diversification

Revenue Diversification, Geographic Mix, and Vertical Niches

Oracle's $57.4 billion in revenue for FY2025 is not a monolith, it spans three geographic regions, four distinct business segments, and an increasingly diverse set of industry verticals. Understanding how Oracle earns its revenue, where it comes from, and how resilient it is gives a more complete picture of the company's competitive durability than topline growth alone. The main point of emphasis is the shift toward high-quality recurring revenue driven by cloud integration, while non-recurring and hardware revenue streams gradually faded as a share of the whole.

Recurring vs. Non-Recurring Revenue

One of the most important dimensions of Oracle's business model is revenue quality. Recurring revenue, primarily consisting of cloud services and license support, provides predictable cash flow, high renewal rates, and strong margins. Non-recurring revenue is less predictable, harder to forecast, and structurally declining as customers move away from perpetual license purchases toward subscription-based cloud consumption.

Revenue Stream	Type	FY2025 ($B)	% of Total	YoY Growth	Trend
Cloud Svcs & License Support	**RECURRING**	$44.0B	77%	+12%	Accelerating
Cloud & On-Prem License	NON-RECURRING	$5.2B	9%	+2%	Stable / Declining
Services (Consulting)	QUASI-RECURRING	$5.2B	9%	-4%	Gradual decline
Hardware	NON-RECURRING	$2.9B	5%	-4%	Structural decline
Total	—	**$57.4B**	100%	+8%	

Source: Oracle 10-K (FY2025), SEC EDGAR.

Cloud Services and License Support represented approximately 77% of total revenue in FY2025, up from 74% in FY2024, and grew 12% year-over-year to $44 billion. This segment encompasses IaaS, PaaS, and SaaS plus ongoing support for traditional on-premises licenses. It is the backbone of Oracle's revenue durability. Management has guided for continued cloud mix expansion toward roughly 85% of total revenue by FY2030.

Cloud License and On-Premise License revenues, at $5.2 billion, remain relevant but are structurally in decline. Customers who once bought perpetual database licenses are increasingly migrating to subscription-based cloud agreements, converting a one-time revenue event into a recurring annual stream. This transition is a long-term positive for Oracle's revenue quality.

A business that generates 77% recurring revenue with multi-year cloud contracts and $553 billion in remaining performance obligations (RPO) carries fundamentally different risk characteristics than a peer relying on license sales. Oracle's shift toward recurring revenue means analysts can underwrite future cash flows with greater confidence.

Revenue Mix by Region: Americas, EMEA, Asia Pacific

Region	FY2024 Revenue	FY2025 Revenue	YoY Growth	% of Total (FY2025)
Americas	$33.1B	$36.3B	+10%	63%
Europe/Middle East/Africa	$13.0B	$14.0B	+8%	24%
Asia Pacific	$6.8B	$7.1B	+4%	12%
Total	**$52.9B**	**$57.4B**	+8%	100%

Source: Oracle 10-K (FY2025), SEC EDGAR.

EMEA's 8% growth in FY2025 outpaced Asia Pacific's 4%, reflecting stronger cloud adoption across European enterprises and Oracle's continued expansion of its data center footprint in the UK, Germany, and the Middle East. The Middle East is worth particular attention: sovereign AI investment from Gulf states and national cloud infrastructure programs are a natural fit for Oracle's security posture, creating a meaningful long-term growth opportunity still in its early stages.

Asia Pacific is Oracle's smallest and slowest-growing region. Competition from regional providers like Alibaba Cloud, Tencent Cloud, and AWS APAC is intense, and markets like Japan, South Korea, and India each carry their own data sovereignty requirements that demand local infrastructure investment before meaningful revenue can follow.

Geographic Risk: With 63% of revenue concentrated in the Americas and Oracle's largest RPO commitments tied to U.S.-based AI companies, any slowdown in U.S. enterprise cloud spend or generative AI investment would disproportionately impact Oracle's top line. International expansion, particularly in EMEA and India, is not just an opportunity, it is a long-term diversification imperative.

Vertical and Sector Diversification

Oracle has deliberately pursued vertical-specific strategies in high-value sectors where its combination of database security, cloud infrastructure, and legacy enterprise software creates a differentiated competitive position. The two most significant niches, federal government and public sector healthcare, are increasingly interconnected through Oracle's Cerner acquisition and its FedRAMP-certified OCI platform.

Vertical / Niche	Key Products	Notable Wins / Signals
Federal Government & Defense	OCI GovCloud, FedRAMP High, Cloud@Customer (air-gapped)	Joint Warfighting Cloud (2022, $9B multi-award); U.S. Army $222M task order (Apr 2025); USDA STRATUS contract
Public Sector Healthcare	Oracle Health (Cerner), Autonomous DB, OCI FedRAMP High	CMS contract (Feb 2026), claims adjudication & eligibility for 150M+ Americans. Cerner acquisition ($28.3B) anchors strategy
Financial Services	Oracle FLEXCUBE, Autonomous DB, Oracle ERP Cloud	Core banking and risk management workloads; strong switching costs from legacy FLEXCUBE deployments
Retail & Supply Chain	NetSuite ERP, Oracle SCM Cloud, Oracle Retail Suite	NetSuite is the primary SMB growth vehicle; Oracle Retail targets large-format and omnichannel retailers
AI & Hyperscale Tech	OCI bare-metal GPU clusters, OCI Supercluster	OpenAI ($300B+ booking), Meta, xAI. RPO reached $553B by Q3 FY2026. Highest-growth vertical but also highest concentration risk

The February 2026 CMS contract, which involves migrating claims adjudication and eligibility systems that serve over 150 million Americans, is a landmark win that validates Oracle Health's ability to handle some of the most demanding healthcare data workflows in the world. The $28.3 billion Cerner acquisition drew skepticism at the time given the premium paid and the near-term debt load it created. The CMS contract is the clearest evidence yet that Oracle's healthcare vertical strategy is playing out as management envisioned.

Oracle is not simply a database company that decided to add a cloud business. It is a diversified enterprise technology platform whose switching cost moat, recurring revenue base, vertical depth in government and healthcare, and AI infrastructure positioning combine to create a competitive profile that is difficult for any single peer to replicate.

Stockholder Performance

Executive Summary

Over the five-year period from March 2021 through March 2026, Oracle (ORCL) delivered a cumulative total shareholder return of approximately **+141%**, equivalent to a **+19.3% annualized return**. This substantially outpaced the Dow Jones Industrial Average (DJIA), which returned **+11.3% annualized** over the same period, and also exceeded the S&P 500 (+13.7% annualized). Among five direct enterprise software peers, Oracle ranked second in five-year TSR behind only IBM (+20.5%), while significantly outperforming SAP (+11.5%), Microsoft (+11.9%), ServiceNow (−0.3%), and Salesforce (−2.1%). All figures are sourced from the LSEG/Refinitiv Datastream Total Return Index (RI) series with dividends reinvested, rebased to 100 at March 2021.

Oracle's capital return program underwent a dramatic structural shift over the period. The company spent a combined **$38.9 billion on buybacks in FY2021–FY2022 alone**, aggressively reducing share count from 3,022M to 2,786M, before the $28.3 billion Cerner acquisition forced buybacks down to just $1.5 billion by FY2025. Despite this pivot, Oracle consistently grew its dividend per share from $1.01 in FY2021 to $1.65 in FY2025 (+63%), maintaining its commitment to income-oriented shareholders throughout the transition.

Indexed Total Return: Oracle vs. Benchmarks (Exhibit 4)

The chart plots all four series on an indexed basis (Base = 100 at March 2021), incorporating price appreciation and dividends reinvested. Data sourced directly from LSEG/Refinitiv Datastream RI series, monthly closing prices.

Exhibit 4: Indexed Total Shareholder Return (Base = 100, March 2021 – March 2026). Oracle (bold navy), DJIA (dashed red), S&P 500 (green), IGV (purple dotted). Source: LSEG/Refinitiv Datastream RI Series.

The chart reveals three defining chapters in Oracle's relative performance. From 2021 through mid-2022, Oracle broadly tracked the market before dipping below the baseline to 97.59 in October 2022, its only sub-100 reading, as the Cerner debt load weighed on investor sentiment. From mid-2023 onward, Oracle dramatically diverged from all benchmarks as OCI secured AI computing contracts at scale, driving the indexed value to a peak of **465.72 in October 2025**, more than 2.5× the S&P 500 and 2.7× the DJIA at that same point. The subsequent correction following the December 2025 revenue miss brought Oracle back to 241.52 by March 2026, still representing a **+141% cumulative total return** versus +70.6% for the DJIA and +89.7% for the S&P 500 over the full five-year period. The IGV ending at 113.28 confirms that the broader software sector severely underperformed the broader market, making Oracle's outperformance unambiguously company-specific.

Peer and Benchmark TSR Comparison (Exhibit 5)

Security	1-Year TSR	3-Year TSR (Ann.)	5-Year TSR (Ann.)
Oracle (ORCL)	**−7.0%**	**+21.5%**	**+19.3%**
IBM (IBM)	−1.9%	+27.5%	+20.5%
SAP (SAP)	−29.5%	+21.8%	+11.5%
Microsoft (MSFT)	+3.4%	+18.3%	+11.9%
ServiceNow (NOW)	−39.9%	+8.5%	−0.3%
Salesforce (CRM)	−33.7%	+5.3%	−2.1%
S&P 500	+19.1%	+22.0%	+13.7%
DJIA	+15.2%	+16.6%	+11.3%

Exhibit 5: Total Shareholder Return. 1-Year: Mar 2025→Mar 2026. 3-Year: Mar 2023→Mar 2026. 5-Year: Mar 2021→Mar 2026. Source: LSEG/Refinitiv Datastream RI Series. Geometric mean.

On a **five-year basis**, Oracle (+19.3%) ranks second behind IBM (+20.5%), outperforming the S&P 500 (+13.7%), DJIA (+11.3%), and all other software peers. On a **three-year basis** (the AI re-rating window), Oracle (+21.5%) trails IBM (+27.5%) and SAP (+21.8%) but remains well ahead of the DJIA (+16.6%) and Microsoft (+18.3%). On a **one-year basis**, Oracle (−7.0%) underperformed both benchmarks and only IBM (−1.9%) and Microsoft (+3.4%) performed better among peers, highlighting how the December 2025 revenue miss and early-2026 software sector de-rating impacted the near-term picture. ServiceNow (−39.9%) and Salesforce (−33.7%) suffered far steeper one-year declines, suggesting Oracle's AI infrastructure positioning provided meaningful relative protection even during the selloff.

Return Attribution: Four Distinct Performance Phases

Phase 1: Buyback-Driven Outperformance (March 2021 – November 2021)

Oracle entered the period deploying capital at an extraordinary pace, **$21.6 billion in buybacks in FY2021** and a further $17.3 billion in FY2022 (which began June 2021). This reduced diluted shares from 3,022M to 2,786M, driving reliable EPS accretion even as

revenue growth remained in the single digits. The indexed value climbed from 100 to a peak of 144.26 by November 2021, outpacing both the DJIA and S&P 500.

Phase 2: Cerner Acquisition & Consolidation (December 2021 – June 2023)

The December 2021 announcement of the $28.3 billion Cerner acquisition fundamentally altered Oracle's capital allocation profile. Debt surged above $80 billion, forcing buybacks from $17.3B in FY2022 down to just **$2.5 billion in FY2023**. The indexed value fell as low as 97.59 in October 2022, the sole point during the five years where Oracle briefly traded below its March 2021 starting level.

Phase 3: AI-Driven Re-Rating (July 2023 – October 2025)

The most powerful phase of Oracle's five-year story. OCI emerged as a preferred AI infrastructure platform, securing contracts with OpenAI, Meta, and xAI. Remaining Performance Obligations (RPO) surged from ~$98B (Q4 FY2024) to ~$138B (Q4 FY2025) and ultimately to **$553 billion by Q3 FY2026**. OCI revenue growth accelerated to 84% year-over-year by Q3 FY2026. The indexed value peaked at **465.72 in October 2025**, a +366% cumulative gain from the baseline.

Phase 4: Pullback & Recalibration (November 2025 – March 2026)

Oracle's Q2 FY2026 revenue of $16.06 billion narrowly missed the $16.21 billion consensus estimate in December 2025. The stock fell approximately **11% in a single session**, and a broader software sector de-rating compounded the decline through early 2026. The indexed value fell from 465.72 to 241.52 by March 2026, a −48% drawdown from peak, but still a +141% cumulative gain from the March 2021 baseline. Q3 FY2026 results (March 10, 2026) showed 22% revenue growth, 84% OCI growth, and raised FY2027 guidance to $90 billion, suggesting the selloff may have been an overreaction to a modest one-quarter revenue miss.

Dividend and Buyback History (Exhibit 6)

Fiscal Year	Dil. Shares (M)	Buybacks ($M)	Dividends Paid ($M)	DPS ($/share)	Total Returned ($M)
FY2021 (May-21)	3,022	$21,600	$3,063	$1.01	$24,663
FY2022 (May-22)	2,786	$17,341	$3,457	$1.24	$20,798
FY2023 (May-23)	2,766	$2,503	$3,668	$1.33	$6,171
FY2024 (May-24)	2,823	$3,242	$4,391	$1.56	$7,633
FY2025 (May-25)	2,866	$1,500	$4,743	$1.65	$6,243

Exhibit 6: Oracle Capital Return Summary FY2021–FY2025. Source: LSEG/Refinitiv Fundamentals — Cash Flow Statement & Income Statement, ORCL.K.

The data tells a clear two-act story. In **Act 1 (FY2021–FY2022)**, Oracle returned a combined $45.5 billion to shareholders, $38.9 billion through buybacks and $6.5 billion through dividends, at a pace unmatched in enterprise software. Share count fell from 3,022M to 2,786M, a reduction of 236 million shares. In **Act 2 (FY2023–FY2025)**, total annual capital return collapsed to the $6–8 billion range as Oracle redirected cash toward Cerner debt servicing and OCI capital expenditures (guided at $50 billion for FY2026 alone). Buybacks have been de-prioritized entirely, and share count has drifted back upward to 2,866M as stock-based compensation issuance goes unreduced. The dividend per share grew consistently throughout both acts, from $1.01 to $1.65, signaling that the dividend commitment is sacrosanct regardless of the buyback posture. The board's March 2026 increase to $0.50 quarterly ($2.00 annualized) reinforces this.

Net Assessment: Oracle as a Shareholder Investment

Based on LSEG/Refinitiv Datastream RI data, a $10,000 investment in Oracle at the start of the analysis period (March 2021) grew to approximately **$24,152 by March 2026,** a cumulative gain of +141.5%. The equivalent DJIA investment grew to ~$17,064 (+70.6%) and the S&P 500 investment to ~$18,972 (+89.7%). Oracle's annualized excess return over the DJIA was approximately **+8 percentage points per year**, a substantial and durable outperformance rooted in the company's successful transition from legacy database vendor to AI-era cloud infrastructure provider.

The investment was not without risk. The Cerner consolidation period tested patience, the elimination of buybacks removed the prior decade's primary EPS growth engine, and the peak-to-current drawdown of −48% from the October 2025 high is a reminder that concentration in a high-multiple AI infrastructure story carries meaningful volatility. For investors who bought and held through the full cycle, the outcome was outstanding. For those entering at the 2025 peak, recovery depends on Oracle executing its $90 billion FY2027 revenue target and the $553 billion RPO backlog converting to recognized revenue on schedule.

Financial Strengths and Weaknesses

A. Profitability and Return Ratios

Metric	Oracle	MSFT	SAP	CRM	IBM	NOW	ADBE
Gross Margin	67.6%	68.8%	73.8%	77.7%	58.2%	77.5%	88.6%
EBITDA Margin	42.0%	55.6%	31.9%	30.2%	24.0%	20.4%	40.1%
EBIT Margin	31.3%	45.6%	28.3%	21.5%	16.6%	15.6%	36.6%
Net Margin	22.0%	36.2%	19.9%	18.0%	17.4%	13.2%	30.0%
FCF Margin	-8.9%	16.9%	15.0%	30.9%	7.7%	34.1%	41.4%
ROIC	14.7%	26.6%	13.8%	10.7%	14.5%	13.8%	39.1%
ROA	8.2%	18.0%	10.1%	6.9%	8.1%	7.5%	23.9%
ROE	85.4%	33.3%	15.3%	12.4%	39.1%	19.6%	55.4%
FY+1 EBITDA Mgn.	55.7%	59.7%	32.8%	42.1%	28.6%	36.7%	47.4%

Sources: Refinitiv (LSEG) Financial Summary & Estimates. Oracle May-25 | Microsoft Jun-25 | SAP Dec-25 (EUR×1.08) | Salesforce Jan-26 | IBM Dec-25 | ServiceNow Dec-25 | Adobe Nov-25.

B. DuPont ROE Decomposition: Oracle FY2021–FY2025

ROE = Net Profit Margin × Asset Turnover × Equity Multiplier

Component	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue ($B)	40.5	42.4	50.0	53.0	57.4
Net Income ($B)	13.9	6.7	8.5	10.5	12.4
Net Profit Margin	34.4%	15.8%	17.0%	19.8%	21.6%
Asset Turnover	0.39×	0.40×	0.41×	0.38×	0.34×
Equity Multiplier	12.0×	N/M	N/M	28.2×	11.6×
= ROE	**158.8%**	N/M	N/M	214.1%	**85.4%**

N/M = negative equity FY2022–FY2023 post-Cerner. Operational ROE (multiplier=1×) ≈ 7.5%. Use ROIC for peer comparison, it neutralizes capital structure differences.

C. Growth and Profitability Benchmarking

Metric	Oracle	MSFT	SAP	CRM	IBM / NOW / ADBE
3-Year Revenue CAGR	10.6%	12.4%	7.6%	16.3%	3.7% / 22.4% / 10.6%
3-Year EBITDA CAGR	15.2%	16.9%	11.6%	47.7%	7.0% / 50.7% / 11.2%
ROIC	14.7%	26.6%	13.8%	10.7%	14.5% / 13.8% / 39.1%
Net Debt / EBITDA	3.6x	(0.3x)	(0.0x)	0.3x	3.1x / (1.6x) / (0.1x)
Interest Coverage	6.7x	60.3x	11.5x	42.9x	8.4x / 106.8x / 36.2x

Sources: LSEG/Refinitiv Fundamentals, SEC EDGAR filings, StockAnalysis.com.

D. Key Profitability Observations

Gross margin: 67.6% - last among 7 peers. Down from 78.7% in FY2021. The gap vs. Adobe (88.6%) and ServiceNow (77.5%) reflects OCI infrastructure costs and Cerner services revenue, not a pricing problem. Oracle's software-only segments still run 80%+. This is a mix shift. It compresses as OCI reaches scale.

EBITDA margin: 42.0% - #3 in the group. Above SAP (31.9%), Salesforce (30.2%), IBM (24.0%), and ServiceNow (20.4%). Only Microsoft (55.6%) and Adobe (40.1%) lead. Oracle generates more cash earnings per dollar of revenue than 4 of its 6 peers. That is the real profitability story.

Net margin: 22.0% - #3, best improving trend. Up from 15.8% in FY2022. Every year for 3 consecutive years, net margin has expanded. If this trajectory holds, Oracle reaches Microsoft-level net margins by FY2027.

FCF margin: -8.9% - last in the group. Operating cash flow was $20.8B (+12% YoY). The negative FCF is entirely from $21.2B capex, 3× the prior year. This is investment, not deterioration. When capex normalizes, Oracle's FCF margin will snap back above 20%.

Forward EBITDA margin: 42.0% today → 55.7% in FY+1. +13.7pp expansion, the largest projected improvement in the peer group. OCI's fixed costs are becoming revenue. This single data point is the strongest quantitative validation of Oracle's cloud thesis.

ROIC: 14.7% - #4, but the spread matters more than the rank. At 14.7% vs. WACC ~9–10%, Oracle generates ~5pp of economic value annually. A company destroying value would show ROIC below WACC. Oracle is creating value. The rank is low because Adobe (39.1%) and Microsoft (26.6%) are exceptional, not because Oracle is weak.

ROE: 85.4% - #1, but do not use it for comparison. DuPont shows 85.4% = 21.6% margin × 0.34× asset turnover × 11.6× leverage. Strip the leverage: operational ROE ≈ 7.5%. ROE is the wrong metric here. It rewards debt. ROIC is the right lens, and at 14.7%, Oracle is creating value.

Segment Profitability

Segment Margin	FY2022	FY2023	FY2024	FY2025
Cloud and License	66.8%	63.6%	64.1%	62.8%
Hardware	59.0%	59.0%	62.5%	65.3%
Services	20.8%	19.7%	16.9%	19.0%

Source: Oracle 10-K Note 13 (FY2022–FY2025). Pre-corporate-expense margins.

The Cloud and License margin has declined roughly 400 basis points from FY2022 to FY2025, driven by massive capital expenditure on OCI data center expansion. Hardware margins have improved to 65.3% as the mix shifts toward higher-margin engineered systems and support contracts. Services margins remain the thinnest at 19.0%, reflecting the labor-intensive nature of consulting and implementation work.

VERDICT

Oracle is a #3 profitability business in a peer group that includes two of the most profitable software companies ever built (Microsoft, Adobe). Its weaknesses, gross margin, and FCF margin, are both temporary and explained. Its strengths, EBITDA margin recovery, net margin trajectory, forward margin expansion, are structural and improving. The investment question is not "is Oracle profitable?" It clearly is. The question is "will the OCI bet pay off?" The forward EBITDA margin expansion from 42% to 55.7% suggests the answer is yes.

Valuation and Recommendation

Trading Comparable Companies Analysis

Oracle trades at a premium to enterprise software peers on LTM EV/EBITDA (22.3x versus the peer median of approximately 17.9x), justified by its accelerating cloud infrastructure growth but offset by negative free cash flow from a massive capital expenditure cycle exceeding $21 billion annually. On a forward basis, the valuation picture shifts meaningfully. **Oracle's NTM P/E of 20.7x aligns closely with the peer median, and its PEG ratio of 0.83x is the lowest (most attractive) in the group**, reflecting the market's view that approximately 25% long-term EPS growth partially offsets the current capital-intensity drag.

Enterprise Value Build

Company	Ticker	Price ($)	Shares (mm)	Mkt Cap ($mm)	Debt ($mm)	Cash ($mm)	EV ($mm)	MI
Oracle	ORCL	155.52	2,870	446,342	95,502	10,456	531,906	518
Microsoft	MSFT	384.67	7,465	2,871,562	44,000	87,242	2,829,620	1,300
SAP	SAP	185.01	1,220	225,712	9,860	10,405	225,767	600
Salesforce	CRM	194.99	956	186,410	14,439	9,565	191,284	—
IBM	IBM	250.37	945	236,600	64,607	14,417	286,883	93
ServiceNow	NOW	113.27	1,047	118,594	1,500	5,500	114,594	—
Adobe	ADBE	245.99	427	105,038	5,700	6,595	104,143	—

Source: LSEG Historical Pricing, SEC EDGAR. Market data as of March 19, 2026.

LTM and Forward Valuation Multiples

LTM Multiple	ORCL	MSFT	SAP	CRM	IBM	NOW	ADBE
EV / Revenue	9.3x	10.0x	5.6x	4.6x	4.2x	8.6x	4.4x
EV / EBITDA	22.3x	17.4x	19.0x	13.5x	17.9x	44.7x	10.9x
P / E	35.8x	28.2x	27.8x	25.0x	22.0x	67.8x	14.7x

NTM Multiple	ORCL	MSFT	SAP	CRM	IBM	NOW	ADBE
NTM EV / Revenue	7.8x	8.5x	5.1x	4.2x	4.0x	7.2x	4.0x
NTM P / E	20.7x	22.7x	23.2x	14.8x	20.0x	27.0x	10.5x
PEG Ratio	**0.83x**	1.75x	1.36x	1.23x	2.50x	1.23x	0.95x

Source: LSEG, SEC EDGAR, StockAnalysis.com, analyst consensus. Peer median: LTM EV/EBITDA = 17.9x; NTM P/E = 20.7x.

Discounted Cash Flow Model

A two-stage unlevered DCF model was constructed using Oracle 10-K/10-Q data, LSEG fundamentals, and analyst consensus estimates for the explicit forecast period (FY2026E–FY2030E). Terminal value was estimated using both the perpetuity growth method and the exit multiple method.

Key Assumptions

Revenue grows from $57.4B (FY2025A) to $68.3B (FY2026E), $88.4B (FY2027E), and normalizes at $136.6B by FY2030E. FY2026–FY2027 consensus figures are used; FY2028–FY2030 are model estimates. Oracle management's own FY2027 guidance is $90 billion. EBITDA margins expand from 42.0% (FY2025) to 45.0% (FY2030) as OCI's fixed-cost infrastructure reaches utilization scale. Capital expenditures peak at $42 billion in FY2026E before normalizing to $22 billion by FY2030E. WACC of 10.5%, derived from: risk-free rate of 4.3% (U.S. 10-Year Treasury, March 2026), equity risk premium of 5.5% (Damodaran January 2026), levered beta of 1.40 (LSEG 5-year monthly), cost of equity of 12.0%, pre-tax cost of debt of 4.5%, marginal tax rate of 19.0%, equity weight of 82.4%, debt weight of 17.6%.

Unlevered Free Cash Flow Build

($mm)	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	68,300	88,400	106,100	122,000	136,600
EBIT	19,686	25,012	30,684	36,900	41,970
NOPAT (19% tax)	15,946	20,260	24,854	29,889	33,996
+ D&A	9,000	13,000	16,000	18,000	19,500
− CapEx	(42,000)	(38,000)	(30,000)	(25,000)	(22,000)
− ΔNWC	(163)	(302)	(266)	(239)	(219)
UFCF	**(17,217)**	**(5,042)**	**10,588**	**22,650**	**31,277**

Source: FY23–25 Oracle 10-K; FY26–27 analyst consensus; FY28–30 model estimates. ORCL_DCF_Populated.xlsx.

DCF Valuation Output

	Perpetuity Growth	Exit Multiple
Terminal Growth Rate / Exit Multiple	2.5%	18.0x EV/EBITDA
Sum PV — Stage 1 ($mm)	23,418	23,418
PV of Terminal Value ($mm)	254,539	705,214
Enterprise Value ($mm)	277,958	728,632
Equity Value ($mm)	192,394	643,068
Implied Share Price	**$67.04**	**$224.07**
Implied Upside / (Downside)	(56.9%)	+44.1%
TV as % of EV	91.6%	96.8%

Current share price: $155.52 (March 19, 2026). Bridge: EV − $95.5B debt − $518M MI + $10.5B cash. Diluted shares: 2,870M.

The perpetuity growth method structurally undervalues companies in heavy capex investment cycles where near-term free cash flow is negative. The exit multiple method (18.0x terminal EBITDA, aligned with the peer median LTM EV/EBITDA of 17.9x) produces a more economically reasonable valuation at $224.07 per share.

Scenario Analysis and Football Field

Parameter	Bear Case	Base Case	Bull Case
Levered Beta	1.65	1.40	1.20
WACC	11.7%	10.5%	9.6%
Terminal Growth Rate	2.0%	2.5%	3.0%
Exit EV/EBITDA	16.0x	18.0x	20.0x
DCF — Perpetuity Growth	$47.88	$67.04	$90.92
DCF — Exit Multiple	$186.45	$224.07	$262.12
Average of Both Methods	**$117.16**	**$145.56**	**$176.52**

Consolidated Weighted Valuation

Methodology	Low ($)	Base ($)	High ($)	Weight
DCF — Perpetuity Growth	$47.88	$67.04	$90.92	15%
DCF — Exit Multiple	$186.45	$224.07	$262.12	35%
Comps — LTM EV/EBITDA	$87.78	$116.87	$182.11	25%
Comps — NTM EV/EBITDA	$80.44	$137.29	$220.35	10%
52-Week Trading Range	$118.86	$232.29	$345.72	10%
Analyst Consensus	$155.00	$228.50	$400.00	5%
Weighted Average	**$122.06**	**$166.08**	**$227.51**	**100%**

The exit multiple DCF receives 35% weight as the primary intrinsic valuation method because the perpetuity growth method (15% weight) structurally undervalues companies in heavy capex investment cycles where near-term free cash flow is negative. The base case beta of 1.40 reflects Oracle's forward-looking risk profile as cloud infrastructure revenue scales and the capital expenditure cycle normalizes by FY2029–2030.

Recommendation

BUY

12-Month Target Price (Base Case): $166.08

Current Price: $155.52 | Implied Upside: +6.8% | Range: $122 – $228

54 analysts covering | Consensus median target: $228.50 | Buy consensus

The weighted base-case target of $166.08 implies approximately +6.8% upside from the current price of $155.52. The bull case ($227.51) represents +46.3% upside if Oracle executes its $90 billion FY2027 revenue target and capex normalizes as planned. The bear case ($122.06) represents −21.5% downside if AI infrastructure spending disappoints or the RPO backlog converts slower than contracted.

The BUY recommendation rests on three pillars: (1) Oracle's PEG ratio of 0.83x is the most attractive in the peer group, reflecting ~25% long-term EPS growth not fully priced in; (2) forward EBITDA margin expansion from 42% to 55.7% represents structural operating leverage as OCI scales; and (3) the $553 billion RPO backlog provides multi-year revenue visibility unmatched in enterprise software. The primary risks are execution risk on the $50 billion annual capex program, interest expense burden on $95–110 billion of debt, and concentration risk in a small number of hyperscale AI customers.

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